Report Title	Medium Term Financial Plan 2026/27 - 2028/29		
Committee	Budget Council, Council		
Meeting Date	2 March 2026		
Chair **Lead Member**	Councillor Louise Phelan Councillor Sunita Gordon		
Report From	Richard Simpson, Strategic Director of Resources		
Report Author(s)	Victoria Goddard, Director of Finance		
Ward(s) Affected	Council Business		
Ambitious for Sutton priorities	An efficient and well run Council		
Open/Exempt	Open		
Signed		**Date**	18 February 2026

1 Summary

1.1 On 16 February 2026 the Strategy & Resources Committee recommended the Medium Term Financial Strategy 2026/27 - 2028/29 to be approved by full Council. This report provides an update on announcements made in the Final Local Government Finance Settlement, that was announced after the Strategy & Resources paper had been published, and confirms the final budget proposals for 2026/27.

2 Recommendations

Please note all Appendix References are Appendices to the Strategy and Resources Committee Report unless stated as "Updated". All Updated appendices are appended to this report.

Revenue Budget 2026/27

2.1 To agree the proposed General Fund Net Budget Requirement of £222.088m summarised in **Updated Appendix B**.

2.2 To approve the Council's pay policy statement for 2026/27 in Appendix C.

2.3 To agree the 2026/27 growth items in Appendix D.

2.4 To agree the 2026/27 savings proposed in Appendix E.

Council Tax and Business Rates

2.5 To agree the Sutton element of the 2026/27 Council Tax at £1,868.13 for a Band D property, an increase of £88.79 (4.99%).

2.6 To approve the formal resolution at **Updated Appendix K**, including the Council Tax Requirement of £143.120m.

2.7 To note the proposed GLA precept of £510.51, an increase of £20.13 (4.1%), due to be agreed by the London Assembly on 26th February 2026.

Other

2.8 To approve the Members' Allowances Scheme for 2026/27 (Appendix G).

2.9 To approve the Fees and Charges proposed for 2026/27 (Appendix H).

2.10 To note the Equalities Impact Assessment of the budget proposals (section 24).

2.11 To note the Climate Impact Assessment of the budget proposals and the Climate Budget presented in Appendix M.

Capital Programme

2.12 To approve the new Capital Strategy (Appendix I1) including the detailed Capital Programme (Appendix I2) for 2026/27 to 2029/30 with a total spend of £375.818m (General Fund £149.300m and Housing Revenue Account £226.518m), including the proposed funding arrangements and policies.

2.13 To approve an increase to the proposed allocation of capital receipts to 50% of 2025/26 receipts to fund Transformation Spend as set out in the Flexible Use of Capital Receipts Forecast in Appendix I3

2.14 To note the approach taken to resource the transformation programme including a time limited market supplement as set out in paragraph 21.7.

Treasury Management

2.15 To approve the Treasury Management Strategy 2026/27 including the Annual Investment Strategy, prudential indicators, Minimum Revenue Provision (MRP) policy and borrowing limits (Appendix J).

Reserves

2.16 To note the forecast reserves position as set out in section 23.

3 Background and Key Information

3.1 The Final Local Government Finance Settlement was announced on 9 February 2026 and confirmed final funding allocations for all local authorities for 2026/27. The announcements cover a three year funding period and provide indicative funding allocations for 2027/28 and 2028/29, which will be finalised in an annual update each year. This provides some degree of certainty of funding levels over the Medium Term planning period and enables Councils to better manage financial risks than was the case with the previous approach of single year settlements.

3.2 The Final Settlement reflects the outcome of the Fair Funding Review 2.0, a significant change in the calculation of relative needs and funding allocations across Local Government. This is described in detail in the Strategy & Resources papers.

3.3 An additional £740m of new funding was allocated to authorities in the Final settlement. The majority of this, £440m, was Recovery Grant Uplift that is targeted at Upper Tier authorities previously in receipt of Recovery Grant with less than a 17% funding uplift across the three years. This does not impact Sutton. £272m of the additional funding was additional allocations to the Homelessness, Rough Sleeping and Domestic Abuse grant. The remainder was smaller increases across a range of areas and changes to the Business Rates funding floors for those authorities in a business rates pool.

3.4 All London Boroughs received an increase in the Final Settlement compared to the announcements made in the Provisional Settlement, though the level of increase is wide ranging. In total, London received an increase of £112m over the three year period, with £46m of this being in 2026/27. Sutton received an increase of £0.976m over the three years, £0.578m of which is in 2026/27.

3.5 The table below shows the updated analysis of Core Spending Power over the three year period and year on year changes against the revised 2025/26 baseline.

	Core Spending Power				Year on Year Change			Total Change	Year on Year Change			Total Change
	2025-26	2026-27	2027-28	2028-29	2026-27	2027-28	2028-29	2025-26 to 2028-29	2026-27	2027-28	2028-29	2025-26 to 2028-29
	£m	£m	£m	£m	£m	£m	£m	£m	%	%	%	%
Sutton	**225.8**	**233.0**	**238.2**	**243.7**	**7.2**	**5.2**	**5.5**	**17.9**	**3.2%**	**2.2%**	**2.3%**	**7.9%**
Breakdown of CSP												
Baseline Funding Level	51.6	34.7	35.5	36.3	-16.9	0.8	0.8	-15.3	-32.8%	2.3%	2.3%	-29.7%
Revenue Support Grant	30.8	45.2	45.7	41.4	14.4	0.5	-4.4	10.6	46.9%	1.1%	-9.6%	34.3%
LA Better Care Grant	5.0	5.0	0.0	0.0	0.0	-5.0	0.0	-5.0	0.0%	-100.0%	n/a	-100.0%
Council Tax	134.9	143.3	152.2	161.6	8.4	8.9	9.3	26.7	6.3%	6.2%	6.1%	19.8%
Homelessness, RS & DA	2.2	2.3	2.3	2.4	0.1	0.0	0.1	0.2	4.5%	0.0%	4.3%	9.1%
Families First Partnership	1.3	2.4	2.4	2.1	1.1	0.0	-0.3	0.8	84.6%	0.0%	-12.5%	61.5%
Total Final CSP	**225.8**	**233.0**	**238.2**	**243.7**	**7.2**	**5.2**	**5.5**	**17.9**	**3.2%**	**2.2%**	**2.3%**	**7.9%**
Total Draft CSP	*225.3*	*232.4*	*237.9*	*243.6*	*7.1*	*5.5*	*5.7*	*18.3*	*3.2%*	*2.4%*	*2.4%*	*8.1%*
Change	*0.5*	*0.6*	*0.3*	*0.1*	*0.1*	*-0.3*	*-0.2*	*-0.4*	*0.0%*	*-0.1%*	*-0.1%*	*-0.2%*

3.6 The total change over the period is a 7.9% increase in funding compared to 8.1% announced at the provisional settlement, despite the increase in funding. This is because of a recalculation of the baseline funding level increasing the 2025/26 base by £0.5m, and the funding being allocated in the first two years of the settlement. Core spending power by 2028/29 is £243.7m in the final settlement, compared to £243.6m at draft. This means the additional funding is beneficial in 2026/27 and 2027/28, but has little impact in the longer term as the level of annual funding at the end of the settlement period is only £0.1m higher than the provisional settlement figures.

4 Dedicated Schools Grant

4.1 The Final Settlement announcements also contained new announcements regarding the Dedicated Schools Grant (DSG) and how historic deficits will be addressed. The Government announced that all authorities with a deficit on the High Needs Block will be able to claim a High Needs Stability Grant for an amount equal to 90% of the High Needs related deficit as at the end of 2025/26. This will be paid in Autumn 2026, subject to each local authority submitting and securing the Department for Education's approval of a local SEND reform plan. The statutory override will remain in place until the end of 2027/28, but at that point the remaining 10% of the accrued deficit to 2025/26 will fall to the authority to fund.

4.2 The Government have issued the following guidance regarding future years:

> *"We will confirm the detail on further support for deficits arising in 2026-27 and 2027-28 before the accounting override ends from 1 April 2028. From 2028-29, SEND spending will be covered by the overall government DEL budget, meaning local authorities are not expected to fund future SEND costs from general funds, once the Statutory Override ends at the end of 2027-28."*

4.3 Sutton has an existing DSG deficit that is forecast to reach £22.2m by the end of 2025/26. Sutton would therefore expect to receive grant equal to 90% (£20m), leaving £2.2m left for the Council to fund.

4.4 Assuming the level of spend in 2026/27 and 2027/28 were to remain similar to current spending, the total deficit by the end of the statutory override period is likely to be in the region of £50m. If the Government were to fund 2026/27 and 2027/28 deficits to the same level as that already committed to up to 2025/26 (i.e. 90%), the total balance to be funded by the Council will be in the region of £5m. If future years deficits are not funded to the same level the pressure for the Council to manage will increase.

4.5 Given the scale of this pressure in comparison to existing reserves and revenue budget pressures it is essential that preparation begins now to ensure the Council has sufficient funding to meet it without adversely impacting other service areas or reducing reserves below an acceptable level.

4.6 With this in mind the budget proposals have been updated following the final settlement and the additional 2026/27 funding of £0.578m will be used to contribute to a DSG repayment reserve. This will be built into the base budget ensuring that the same

contribution to the reserve will be made annually. This will ensure at least some of the balance required to meet the Council's share of the deficit is provided for by 1 April 2028. The remaining pressure will need to be managed within future years budget planning processes.

5 Updated Appendices

5.1 As a result of the additional funding announced and the proposed contribution to the DSG repayment two of the appendices presented to the Strategy & Resources Committee have been updated. All other appendices presented to the Strategy & Resources Committee remain unchanged.

5.2 An updated Appendix B is provided showing the revised budget position across the Medium Term Financial Plan. An updated Appendix K is also provided showing the revised Council Tax resolution. No changes have been made to proposed Council Tax levels from that presented to the Strategy and Resources committee.

6 Benefits to Sutton and its Residents

6.1 The proposed budget protects front line service provision despite ongoing financial pressures arising from high levels of demand for social care and housing services, and high costs of service provision across Special Educational Needs and Disabilities and social care. The savings proposed in Appendix E to the report are considered deliverable and realistic, and the growth proposed in Appendix D will provide additional funding to those services currently experiencing significant pressure.

6.2 It is proposed to increase Council Tax by 4.99% to balance the budget in line with the assumptions used by the Government when calculating Sutton's funding allocations. It is recognised that this is an additional cost to residents, but is considered unavoidable given the need for budget growth in core services and the significant level of savings already assumed in the budget.

6.3 The use of the newly announced additional funding of £0.578m for 2026/27 to fund an annual contribution to the DSG deficit helps mitigate the risk of this deficit having serious impacts on front line services when the statutory override ceases at the end of 2027/28. Although there will still be some deficit falling to the Council to fund, it will have been reduced by over £1m and there is time to identify how the remaining balance will be funded during budget setting processes over the next two years.

6.4 Excluding the DSG deficit payments, there remains a cumulative budget gap of £35m to 2028/29. Work is underway to identify a transformation partner to work with the Council to develop opportunities that deliver sustainable long term cost reductions.

6.5 The budget proposals include investment that will benefit residents through delivering new build properties and increasing temporary accommodation options, maintaining Council housing stock, improving street lighting, maintaining roads and pavements, delivery of transport improvements in Belmont, and development of a new Sutton College.

7 Implications

Equalities Implications

7.1 The Strategy & Resources report details the equalities implications arising from the budget proposals. All individual savings initiatives will be required to complete an Equalities Impact Assessment where there are changes that may impact on people with protected characteristics.

Climate Implications

7.2 The Strategy & Resources report details the climate implications arising from the budget proposals.

8 Finance and Legal Commentary

Finance Comment

8.1 Financial comments are detailed in the body of the report.

Financial Risks

8.2 Financial risks are discussed in the body of the report and in the report to the Strategy & Resources Committee. Lorem ipsum dolor sit amet.

Legal Comment

8.3 Legal comment on the budget proposals is provided in the Strategy & Resources Report.

Legal Risks

8.4 Legal risks arising from the budget proposals are detailed in the Strategy & Resources Report.

9 Appendices and Background Documents

9.1 Appendices

Appendix Letter	Appendix Title
	16 Feb 2026 Strategy & Resources Report and Appendices on Medium Term Financial Plan 2026/27 - 2028/29
Updated B	Updated Gross Budget Trail 2026/27 - 2028/29
Updated K	Updated Council Tax Resolution 2026/27

9.2 Background Documents

Date of Expiry	Background Document
N/A	N/A

10 Consultations

Consultees	Yes/No	Officer	Date of Comments
Finance	Yes	Victoria Goddard Director of Finance	17/02/2026
Legal	Yes	Siraj Choudhury Director of Law & Governance	17/02/2026
Commercial and Procurement	No	N/A	N/A
Others	No	N/A	N/A
Equalities Impact Assessment (EQIA)	No	N/A	N/A
Climate Impact Assessment (CIA)	No	N/A	N/A

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